Submitted via the Commission's internet comment form at https://www.sec.gov/comments/s7-2026-27/regulation-crypto-assets (File No. S7-2026-27)

Vanessa A. Countryman
Secretary
Attention: File No. S7-2026-27, Regulation Crypto Assets
U.S. Securities and Exchange Commission
100 F Street NE
Washington, DC 20549-1090

October 19, 2026

Re: File No. S7-2026-27, Regulation Crypto Assets; Release Nos. 33-11434 and 34-106150; RIN 3235-AN38 (91 Fed. Reg. 54510, August 21, 2026; comments due October 20, 2026)

Dear Ms. Countryman:

Tokenization Systems, an independent research program on stablecoin, tokenization, and digital-asset market structure, submits this comment on proposed Regulation Crypto Assets. Tokenization Systems supports the Commission's decision to build a tailored offering regime rather than continue applying rules written for a different asset class, and supports the proposal's principles-based disclosure architecture. This comment addresses one structural question that runs through the proposal and that the Commission has itself put to commenters: how the Commission will know, other than by taking the issuer's word for it, that essential managerial efforts have in fact ceased.

Question 131 asks whether there is "a more objective standard that we should use in place of the proposed standard in Rule 400(a)." This comment answers that question. Its central proposition is that proposed Rule 400 conditions a permanent change in a crypto asset's status under the Federal securities laws on facts that are measurable from public data, but tests them only through the issuer's own certification about the issuer's own prior promises. That is a solvable problem, and the instruments to solve it already exist and are in published, peer-reviewed use. The Commission has already framed the underlying question in measurable terms: the 2026 Interpretation that Rule 400 would codify in part defines a decentralized crypto system as one that "functions and operates autonomously with no person, entity, or group of persons or entities having operational, economic, or voting control of the crypto system," a definition written in terms of control, which can be read from public data. The gap the proposal leaves open also has a name in the legal literature. Angela Walch, writing in Cryptoassets: Legal, Regulatory, and Monetary Perspectives (Oxford University Press, 2019), calls it the "Veil of Decentralization": the distance between a system's claimed decentralization and the actual distribution of power within it, which she argues can be pierced only "through active interrogation of how power operates in each blockchain system." A certification by the issuer, about the issuer's own prior promises, is not such an interrogation.

The empirical basis for the concern is direct. In a fifty-two-protocol live-governance audit

published in *Frontiers in Blockchain* on August 5, 2026, Tokenization Systems found that launch insider allocation does not predict where governance concentration settles: the correlation between launch insider allocation and steady-state governance concentration is weak and statistically insignificant (Pearson r = 0.09, p = 0.55, N = 50). By contrast, current insider retention is informative about concentration (Spearman rho = 0.44, p = 0.005, N = 39; the relationship survives a non-insider tautology check at rho = 0.54). The study measures allocation and retention against concentration; it does not measure offering-stage promises against later cessation of managerial efforts. Its implication for Rule 400 is limited and direct: a figure taken from the offering is a poor proxy for who controls the network at the Form TR date, and the current-state measures that do carry information are not required at all.

Two further findings from the same audit bear on any test the Commission adopts. Naive top-1000 holder lists overstate measured concentration, which a burn-address and protocol-controlled-address exclusion methodology lowers by a median factor of 2.3 times across the thirty-two protocols with complete pre-exclusion and post-exclusion logging. And where governance runs through delegation, voting power is more concentrated than post-exclusion token holdings in thirteen of eighteen protocols with sufficient governance data, with amplification ratios from 2.5 to 25.6 times and a median of 4.4 times, alongside five documented structural exceptions where delegation disperses voting below holdings. Both findings point the same way: the indicators most readily reached misstate control, in both directions, unless the measurement methodology is specified.

Tokenization Systems has submitted twenty-two comments, carrying one hundred twenty-one recommendations, to nine Federal agencies, including the Office of the Comptroller of the Currency (Dockets OCC-2025-0372 and OCC-2026-0463), the Department of the Treasury (TREAS-DO-2026-0232 and TREAS-DO-2026-0496), the Federal Deposit Insurance Corporation (RINs 3064-AG19, 3064-AG20, 3064-AG21, 3064-AG27, 3064-AG29, and 3064-AG30), the Financial Crimes Enforcement Network (FINCEN-2026-0034, FINCEN-2026-0100, and FINCEN-2026-0101), the Board of Governors of the Federal Reserve System (Docket No. R-1835), the National Credit Union Administration (NCUA-2026-1024), the Commodity Futures Trading Commission (Docket CFTC-2026-1685), and the Commission (File Number DSP-3). This is Tokenization Systems' second comment to the Commission. The first, on the Draft Strategic Plan for Fiscal Years 2026 through 2030, recommended that the Commission measure decentralization from current on-chain state wherever a boundary or jurisdictional determination turns on it. Proposed Rule 400 is the first rule text in which that recommendation has concrete purchase, and this comment supplies the operational detail the strategic-plan comment could only name. Full citations appear in the appendix.

The eight recommendations are summarized below with the questions each answers and the action requested.

Recommendation	Questions answered	Requested final-rule action	Why it matters
1. Observable control condition in Rule 400(a)	124, 127, 131, 133	Add to Rule 400(a) a condition that the issuer retain no unilateral privileged control over the associated crypto network, determined from current on-chain state; do not rest the safe harbor on the issuer's representations alone	Whether the issuer or a person acting for it can still change the network unilaterally is a yes-or-no fact readable from current chain state, while offering-time figures say little about later control ($r = 0.09$)
2. Form TR analysis content	128, 130	Require the supporting analysis and specify its minimum content; do not permit certification without analysis	An analysis with unspecified content cannot be evaluated, and the alternative in Question 130 would make the condition unreviewable
3. Reach beyond the issuer	125, 127	Extend the Rule 400(a) condition to affiliates and agents of the issuer or a promoter and to any person who controls a privileged function, not to every Rule 100 related person	Rule 400 reaches only "the issuer," although the 2026 Interpretation it codifies reads that term to include affiliates and agents, so efforts continuing at a founder-controlled foundation satisfy the rule as drafted
4. Measurement methodology	28, 130, 131, 132	Specify burn-address and protocol-controlled-address exclusion and delegation-adjusted voting measurement wherever holder or voting data is relied on	Unspecified methodology moves measured concentration by a median factor of 2.3 times, and delegation raises effective voting concentration in thirteen of eighteen protocols
5. Functionality anchor	131, 132, 133	Anchor the Rule 400(a) standard to the functionality test the release already articulates, rather than solely to the scope of what the issuer promised	As drafted, an issuer that promised less has a smaller cessation burden than one that promised more, which rewards thin offering-stage disclosure
6. Non-resumption and notice	127, 134	Condition continued reliance on non-resumption of essential managerial efforts and require prompt notice if they resume; state that filing Form TR is not, by itself, an admission (Question 134)	Rule 400 is one-way on its face and its only forward-looking element is unobservable intent

Recommendation	Questions answered	Requested final-rule action	Why it matters
7. Progress against milestones	26, 27, 28, 29, 30	Require that Rule 103(b)(1) progress disclosure be stated against the milestones the issuer disclosed	Without a disclosed baseline, the Form TR analysis has nothing auditable to measure completion against
8. Cross-agency alignment	127, 131	Align the Commission's control test with the effective-control standards sibling agencies are applying to the same underlying fact	Divergent tests for who controls a network invite forum selection rather than compliance, and the CFTC is now designing its crypto asset market framework for assets on the far side of the Rule 400 line

I. Recommendations

Recommendation 1 (Questions 124, 127, 131, 133): Add an observable control condition to Rule 400(a) rather than resting the safe harbor on the issuer's representations alone.

Proposed Rule 400(a) requires that the issuer "has completed or otherwise permanently ceased all essential managerial efforts that it represented or promised it would engage in" and "is not making and does not intend to make any new representations or promises." Rule 400(b) requires a Form TR carrying a certification and a supporting analysis. Nothing else conditions the safe harbor. The consequence is not modest: on satisfaction, the crypto asset is deemed not to constitute, represent, or be subject to an investment contract for purposes of Section 2(a)(1) of the Securities Act and Section 3(a)(10) of the Exchange Act.

The difficulty is that both operative facts are internal to the issuer. Whether the issuer has ceased its own efforts, and whether it intends to make new promises, are matters the issuer alone observes. The Commission and investors observe the certification.

Tokenization Systems' audit bears on one input to the question of who controls the network. Launch insider allocation is uninformative about where governance concentration settles (Pearson $r = 0.09$, $p = 0.55$, $N = 50$), a null that is statistically equivalent to zero within the study's power bound. Current insider retention, by contrast, is informative (Spearman $\rho = 0.44$, $p = 0.005$, $N = 39$; surviving a non-insider tautology check at $\rho = 0.54$). Control is measurable, but it is measurable in the present tense, from current state, not from what was represented at the offering.

Tokenization Systems recommends that Rule 400(a) carry a third condition addressed to current, observable control. The condition should be satisfied where neither the issuer nor any person acting for it holds a power to alter the associated crypto network or the subject crypto asset that can be exercised without holder approval and takes effect without a timelock during which holders may reject it. This is not a theoretical construct. In an on-chain admin-key and upgrade-authority audit that Tokenization Systems conducted

across thirty-six protocols for a separate classification study, unilateral upgrade control proved pervasive: in seventeen of the thirty-six, an upgrade authority could alter the core with no token-holder-governance-plus-timelock gate. Those seventeen include protocols controlled by a single party or common-control group, whether a team multisig, an externally-owned account, or a foundation-run proof-of-authority arrangement, and one borderline case, a permissioned thirteen-of-nineteen guardian set whose signers are independent rather than under common control but which can still alter the core with no token-holder governance gate. The audit read the actual upgrade authority on-chain for each protocol. What that audit did for thirty-six protocols, an issuer can do for one, and a reviewer can reproduce. The count of seventeen is not a result of the published Frontiers article: it comes from the separate study, which is unpublished, so the article cannot be used to check it. The recommendation does not depend on it, because an issuer can inventory its own upgrade authority whatever other protocols retained.

The concept is the Commission's own, and the recommended condition asks for less than the Commission's own definition requires. The 2026 Interpretation defines a crypto system as "decentralized" if it "functions and operates autonomously with no person, entity, or group of persons or entities having operational, economic, or voting control of the crypto system" (91 Fed. Reg. at 13718 n.50). The release explains that the safe harbor should focus on the issuer's fulfillment of its representations or promises "rather than a general market conception of decentralization" (release n.193). Recommendation 1 is consistent with that choice. It does not import a market conception of decentralization. It tests one of the three forms of control the Commission's own definition names, operational control, in its narrowest form, unilateral control, and only as to the issuer, the affiliates and agents of the issuer or of a promoter, and the holders of a privileged function. The fact bears directly on the question Rule 400 asks, because a purchaser can still reasonably expect essential managerial efforts from an issuer that keeps the unilateral power to rewrite the network.

The release considered a broader condition of this kind and set it aside, and its reason does not reach this one. Among the reasonable alternatives, it discusses requiring that the subject crypto asset have sufficient functionality and that the associated crypto network or associated crypto application "has become sufficiently decentralized (according to specified criteria regarding functionality and decentralization)." It allows that such criteria "might be less costly to demonstrate than those in Form TR," and identifies the cost on the other side: "it could be difficult for issuers to determine when a subject crypto asset has sufficient utility or control of the associated blockchain network or when the application is sufficiently dispersed," so that issuers "may need to retain the services of legal and technical professionals to verify that they meet the conditions of the safe harbor" (release section IV.D.4.b). Recommendation 1 asks no question of degree. Whether the issuer or a person acting for it holds a power to alter the network that can be exercised without holder approval and without a timelock is a yes-or-no fact. The issuer already knows the answer, because it holds the keys or has given them up, and a reviewer can confirm it from the chain. The inventory in Recommendation 2 is the issuer's own list of those keys.

The condition can also be written in observable terms, because legislative drafters have already written it that way. The House-passed text of the Digital Asset Market Clarity Act

of 2025 (H.R. 3633), which the release cites in setting the startup exemption's four-year period, would treat a blockchain system as mature only if no person or group of persons under common control "has the unilateral authority, directly or indirectly, through any contract, arrangement, understanding, relationship, or otherwise, to control or materially alter the functionality, operation, or rules of consensus or agreement of the blockchain system or its related digital commodity." The admin-key audit described above applied that element, read from chain state, to its thirty-six protocols. Tokenization Systems cites the bill for its drafting, not as a forecast of legislation.

That control is measurable from observable system properties is not this program's claim alone. In a systematic literature review published in 2021, Ashish Rajendra Sai, Jim Buckley, Brian Fitzgerald, and Andrew Le Gear derive a taxonomy of centralization in public blockchain systems built, in their words, on "empirically observable and measurable characteristics," consisting of "13 aspects of centralization, classified over six architectural layers: Governance, Network, Consensus, Incentive, Operational, and Application." The Commission need not adopt that taxonomy. The point for Rule 400 is narrower and is established independently of any one framework: the question the safe harbor asks is of a kind that admits observation, and an independent literature has been operationalizing it for years.

The supervisory form of the same point has been stated inside the Federal Reserve System. Writing in the Federal Reserve Bank of St. Louis *Review* in 2021, Fabian Schär observed that many decentralized-finance protocols "use admin keys" and that even where a launch is perceived as relatively fair, "the actual distribution often remains highly concentrated." His conclusion is addressed to regulators directly: they "should watch closely and analyze carefully if a given DeFi protocol is indeed decentralized or if the DeFi label is just for show in an attempt to get around regulation." Proposed Rule 400 asks a version of exactly that question, and answers it by asking the issuer. The recommendation here is only that the Commission take the analytical step the Federal Reserve publication urges, using evidence that is already public.

Recommendation 2 (Questions 128, 130): Require the Form TR analysis and specify its minimum content; do not permit certification without analysis.

Question 130 asks whether Form TR should require a supporting analysis or whether issuers should be permitted to certify without one. Tokenization Systems recommends requiring the analysis. The alternative would reduce the condition to an assertion, and the Commission's stated purpose for Form TR, that "a reasonable investor could understand how the issuer made its determination," cannot be met by a certification with no reasoning attached.

Requiring an analysis is necessary but not sufficient. An analysis of unspecified content is difficult to evaluate and easy to satisfy formally. Tokenization Systems recommends that Form TR specify three minimum elements:

First, a privileged-function inventory: the admin keys, upgrade authorities, mint and freeze functions, and equivalent privileged capabilities associated with the crypto asset and the

associated network, with the on-chain addresses or program identifiers at which each resides and a statement of who controls each.

Second, where the issuer relies on governance dispersion, a governance-participation measurement with the methodology stated, including the address exclusions applied and whether delegated voting power was measured.

Third, a related-person continuation statement addressing whether any related person is engaged in, or has undertaken to engage in, the efforts the issuer has ceased.

Each of these is a fact the issuer already knows and can state briefly. Together they convert the analysis from a narrative into something a reviewer can check.

The Commission has an antecedent of its own here, and it is closer to these recommendations than the proposal is. Commissioner Hester Peirce's Token Safe Harbor Proposal 2.0, issued as a public statement in April 2021, addressed the same problem of what happens when a grace period ends, and answered it with an exit report that would include "an analysis by outside counsel explaining why the network is decentralized or functional, or an announcement that the tokens will be registered under the Securities Exchange Act of 1934." That proposal also required "semi-annual updates to the plan of development disclosure and a block explorer," and defined the plan of development as "[t]he current state and timeline for the development of the network to show how and when the Initial Development Team intends to achieve Network Maturity."

Those four elements map onto four of the recommendations in this comment: a required analysis with stated content (Recommendation 2), an on-chain reference point (Recommendation 1), a maturity or functionality anchor rather than a promise-scoped one (Recommendation 5), and milestones disclosed and reported against (Recommendation 7). Tokenization Systems does not suggest the Commission adopt the 2021 proposal, which differs from this one in structure and in the relief it offers. The narrower observation is that the Commission has already considered what an end-of-period determination needs in order to be reviewable, and reached answers close to these. Proposed Rule 400 asks for a certification and an analysis of unspecified content, which is less than its own antecedent asked for.

Recommendation 3 (Questions 125, 127): Extend the Rule 400(a) condition to the affiliates and agents of the issuer or of a promoter and to the holders of a privileged function.

Proposed Rule 400 addresses only "the issuer." The term "related person" is defined in proposed Rule 100 to mean, with respect to an issuer, founders, promoters, employees, affiliates, and any person that is a director, officer, trustee, consultant, contractor, or advisor to the issuer, in each case together with any immediate family members; and the term is used in the disclosure requirements of Rule 103, which both exemptions incorporate (the startup exemption through Rule 200(d), the fundraising exemption through Form 1-CRYPTO). It does not appear in Rule 400.

The gap this leaves is straightforward. An issuer may cease its essential managerial efforts

while a founder-controlled foundation, an affiliate, or a development company under common control continues precisely those efforts. On the text as proposed, the Rule 400(a) condition is satisfied, the Form TR is accurate, and the crypto asset exits the definition of "security" permanently, while the efforts on which purchasers' expectations rest continue uninterrupted at a related person. Tokenization Systems does not suggest this is the Commission's intent. It is a consequence of a defined term being used in three of the regulation's four operative subparts and not the fourth.

The Commission's own 2026 Interpretation already reads the term more broadly: "For purposes of this release, references to an 'issuer' include affiliates and agents of the issuer or a promoter" (91 Fed. Reg. at 13721 n.83). The release explains that Rule 400's conditions "are intended to codify the Commission's views expressed in the 2026 Interpretation," yet neither proposed Rule 400 nor the definitions in proposed Rule 100 carry that construction into the codified text, so on its face the codification is narrower than the view it codifies. Where the codified text means to reach affiliates it says so, as in the offering limits, which count aggregate sales "by the issuer and its affiliates." Legislative drafting likewise looks past the issuer itself: the House-passed text of H.R. 3633 measures distributed ownership by asking whether any "digital commodity issuer, digital commodity related person, or digital commodity affiliated person beneficially owns, in the aggregate, 20 percent or more" of the asset.

Tokenization Systems recommends extending the Rule 400(a) condition beyond the issuer, but not to every related person. The extension should reach affiliates and agents of the issuer or of a promoter, the reach the 2026 Interpretation already gives the issuer, and any other person who controls a privileged function described in the Form TR inventory. It does not reach a consultant, a family member, a validator, or a code publisher who is neither an affiliate nor an agent and controls no privileged function, and it attaches to acts and powers, not to anyone's intent. Rule 103(b)(4) already requires the issuer to describe its related persons, and the Form TR inventory names who controls each privileged function, so the issuer will have identified the relevant population before it files.

Anticipated objection. Extending the condition beyond the issuer might be read to capture ordinary post-functionality maintenance performed by an affiliate, and so to make the safe harbor unusable. It should not, and the release already supplies the answer. The Commission states that once a network or application is functional, "services to secure, maintain, improve, or enhance such a network or application or its functionality, or to facilitate network effects, whether through sponsoring or funding development projects or other similar activities, would not constitute essential managerial efforts," and that this holds "whether by the issuer or another party." The recommended extension reaches only efforts that are essential managerial efforts in the first place. The Commission's existing carve-out does the limiting work, and the extension simply prevents the identity of the actor from being dispositive where the character of the effort is not.

Recommendation 4 (Questions 28, 130, 131, 132): Specify the measurement methodology wherever the Commission relies on holder or voting data.

If the Commission adopts an observable condition in Rule 400(a), or accepts governance dispersion as evidence in a Form TR analysis, it will be relying on holder or voting data. That data does not speak for itself, and the methodological choices that determine what it says are currently unstated.

Tokenization Systems' audit quantifies the exposure. Applying a universal burn-address rule and excluding protocol-controlled addresses lowers measured concentration by a median factor of 2.3 times across the thirty-two protocols with complete pre-exclusion and post-exclusion logging. In the opposite direction, delegation raises effective voting concentration above post-exclusion holdings in thirteen of eighteen protocols with sufficient governance data, with ratios from 2.5 to 25.6 times and a median of 4.4 times. Five protocols in the sample show the reverse pattern, where a mature delegate program disperses voting below holdings, and those exceptions are informative rather than anomalous: they show that delegate-program design, not sector or governance venue, determines the magnitude.

Independent work reaches the same conclusion about holder data. Studying the token distributions of decentralized-finance protocols, Matthias Nadler and Fabian Schär found that, for most tokens, a holder analysis that did not control for the type of account overstated the holdings of the top five addresses "by approximately 100% and in some extreme cases by up to 700%." The main sources of error were tokens held in custodial and escrow contracts (liquidity, lending, and staking pools, token wrappers, and vesting contracts) and in burner and decentralized-exchange addresses. A naive list counts those balances as ordinary holdings; the corrected method reassigns them to their economic beneficiaries where it can and excludes them where it cannot. Any threshold the Commission adopts inherits the same dependency. The Commission's own definition of decentralization turns in part on "voting control," and the House-passed text of H.R. 3633 draws bright lines at "20 percent or more of the outstanding voting power" and at beneficial ownership of 20 percent of the units. Neither line can be applied consistently until the denominator and the attribution rules are stated.

The practical implication is that the same crypto asset can be characterized as dispersed or concentrated depending on choices no rule currently constrains: whether burn addresses sit in the denominator, whether bridge and treasury addresses are excluded, and whether voting is measured at all or only holdings. Tokenization Systems recommends that the Commission specify, in the rule text or the adopting release, that any holder-concentration measure exclude burn addresses and protocol-controlled addresses, and that where governance runs through delegation the measure reflect delegated voting power rather than token holdings alone. Tokenization Systems offers its corrected concentration methodology, documented in the published audit and in an executable replication package, as one reproducible procedure for that determination.

Recommendation 5 (Questions 131, 132, 133): Anchor the Rule 400(a) standard to network functionality rather than solely to the scope of what the issuer promised.

Rule 400(a) is scoped by the issuer's own representations: the efforts that must have ceased are "all essential managerial efforts that it represented or promised it would engage in under the covered investment contract." The scope of the condition therefore varies with the ambition of the issuer's offering-stage disclosure. An issuer that described an extensive development program must complete or abandon all of it. An issuer that described little has little to cease.

That asymmetry runs against the proposal's own disclosure objectives. Rule 103 seeks fuller, more useful narrative disclosure of what the issuer has undertaken; Rule 400 attaches a smaller exit burden to having undertaken less. The two provisions pull in opposite directions on the same behavior.

The release already contains the corrective. In discussing what does not constitute essential managerial efforts, the Commission ties the analysis to whether the network or application is functional, and states that after functionality is achieved the asset "should derive its value from the programmatic operation of the associated crypto network or associated crypto application, as well as the market's supply and demand dynamics." Tokenization Systems recommends that Rule 400(a) incorporate that functionality anchor as an independent element, so that the condition turns on the state of the network as well as on the completion of what was promised. Question 133 asks whether the safe harbor should be available only to issuers that have fulfilled their representations; the functionality anchor is the better discriminator, because it addresses the fact purchasers' expectations actually rest on.

The 2026 Interpretation supplies the definition the element needs. It defines a crypto system as "functional" if "the system's native crypto asset can be used on the system in accordance with the programmatic utility of the system" (91 Fed. Reg. at 13718 n.49), and the suggested rule text in Part II tracks that definition. The same release shows why the element must stand apart from the issuer's own description, because it measures promised functionality in the issuer's terms: "whether the issuer has achieved functionality would be based on how the issuer defined or otherwise described functionality, not a general market conception of what constitutes functionality" (id. at 13722 n.96). That is a sound rule for deciding whether a promise was kept. It is not a reason to let the promise set the floor for leaving the securities laws, and an independent functionality element, defined in the Commission's terms rather than the issuer's, is what closes the gap.

Recommendation 6 (Questions 127, 134): Condition continued reliance on non-resumption, and require prompt notice if essential managerial efforts resume.

Proposed Rule 400 operates once. On satisfaction of its conditions the covered investment contract is deemed to have ceased to exist and the crypto asset is deemed not to be subject to it. The codified text addresses no subsequent event. Its only forward-looking element is

the Rule 400(a) statement that the issuer "does not intend to make" new representations or promises, which is a statement about intent and therefore not observable by the Commission, by investors, or by a court examining the question later.

Tokenization Systems recommends two additions. First, condition continued reliance on the safe harbor on the issuer not resuming essential managerial efforts with respect to the crypto asset. Second, require the issuer to file prompt notice if it does resume, on the model of the current-report obligation the proposal already establishes in Form 1-UC. The change converts an unobservable statement about present intent into an observable obligation attached to a future act.

Question 134 raises a different concern: that some parties may read reliance on the safe harbor as a tacit admission that the crypto asset was subject to an investment contract and that the party relying on it was the issuer. The final rule should state that filing Form TR is not, by itself, that admission. The filing remains subject to the antifraud provisions, and a false analysis is still a false filing. Tokenization Systems does not have evidence on whether issuers will rely on the 2026 Interpretation instead of Rule 400, and it does not answer that half of the question.

Anticipated objection. The 2026 Interpretation already addresses renewed promises: once an investment contract has ceased, the issuer's later offers and sales are not securities transactions "unless the issuer creates a new investment contract to which the non-security crypto asset is subject" (91 Fed. Reg. at 13722). That principle and this recommendation are complementary. The principle states the legal consequence once new representations or promises are established; it does not tell investors or the Commission that they have been made. In the meantime the issuer's Form TR remains on EDGAR stating that the covered investment contract has ceased to exist. A notice obligation is what makes the Interpretation's own principle visible to the market it protects.

Recommendation 7 (Questions 26, 27, 28, 29, 30): Require that Rule 103(b)(1) progress disclosure be stated against the milestones the issuer disclosed.

Proposed Rule 103(b)(1) requires disclosure of "the issuer's representations or promises to engage in essential managerial efforts under the covered investment contract and its progress with respect to such representations or promises." The Commission expects the Form TR analysis to draw on these disclosures, and observes that they "may provide issuers, investors, and other market participants with a more objective means" of determining whether a covered investment contract has ceased to exist.

That expectation is sound and one drafting change would secure it. Progress is only measurable against a stated baseline. If the initial disclosure describes undertakings in narrative terms without identifiable milestones, then later progress disclosure has nothing to be measured against, and the Form TR completion analysis inherits the same indeterminacy.

Tokenization Systems recommends that Rule 103(b)(1) require the issuer to identify the specific milestones or deliverables comprising its represented essential managerial efforts,

and to state progress against those identified items. Questions 29 and 30 ask whether to supplement the principles-based requirements with prescriptive elements, non-exclusive examples, or adopting-release guidance. This is the one place where a prescriptive element earns its cost, because it is the element on which the safe harbor later depends. Tokenization Systems otherwise supports the principles-based approach and does not recommend converting Rule 103 to a prescriptive schedule.

The Commission's own guidance already treats milestones as the substance of the efforts this disclosure describes. The 2026 Interpretation identifies representations made "together with a business plan containing detailed milestones, a timeline, information about personnel, sources of funding and other resources needed to meet those milestones" as the kind that "speak directly to those essential managerial efforts that affect the failure or success of the project," and treats representations "lacking milestones, funding, or other plans for needed resources" as unlikely to create reasonable expectations of profit at all (91 Fed. Reg. at 13721-22). An issuer whose offering created an investment contract will therefore usually have stated its milestones already; the recommendation asks only that progress be reported against them.

The empirical literature supports the weight the proposal places on disclosure here. Studying more than 1,500 token offerings raising $12.9 billion collectively, Sabrina Howell, Marina Niessner, and David Yermack found in the *Review of Financial Studies* that issuer success, measured as increasing employment and avoiding enterprise failure, "is associated with disclosure, credible commitment to the project, and quality signals." Milestones stated at the offering and reported against are precisely a credible commitment in that sense. The recommendation therefore asks for something the evidence associates with better real outcomes for issuers, not only with better administrability for the Commission.

Recommendation 8 (Questions 127, 131): Align the Commission's control test with the effective-control standards sibling agencies are applying to the same underlying fact.

Several Federal agencies are now writing rules that turn on who effectively controls a digital-asset arrangement, and they are not converging. Tokenization Systems has recommended to the Financial Crimes Enforcement Network that a United States-based compliance officer hold effective supervisory control over United States-nexus operations rather than a nominal title (FINCEN-2026-0034, Recommendation 4), and to the Federal Deposit Insurance Corporation that the supervisor confirm an identifiable accountable line where a payment stablecoin issuer leverages an affiliate's program (RIN 3064-AG29, Recommendation 5). Both rest on the same diagnostic this comment applies to Rule 400: where control is delegated or placed with an affiliate, the nominal locus of accountability and the effective locus of control can diverge, and a test that reads only the nominal structure will misjudge the arrangement.

Tokenization Systems recommends that the Commission state, in the adopting release, that the Rule 400(a) determination looks to effective control rather than nominal arrangement, and that the placement of an effort with an affiliate or agent does not by itself establish

cessation. The alignment is directional and costs the Commission nothing in flexibility. Its absence has a cost: where one agency reads nominal structure and another reads effective control, the same arrangement can be compliant in one forum and not the other, and the resulting choice is a forum choice rather than a compliance improvement.

The alignment matters more now than when the proposal issued, because the Rule 400 determination is becoming a boundary between two agencies' regimes. The 2026 Interpretation that Rule 400 would codify in part was issued together with guidance in which the Commodity Futures Trading Commission stated that it and its staff "will administer the Commodity Exchange Act" consistently with that interpretation. On October 5, 2026, the CFTC released an advance notice of proposed rulemaking on Regulation Crypto Asset Transactions and Regulation Crypto Asset Markets that describes the proposed safe harbor as the point at which a crypto asset may become "freely tradable in secondary markets outside the purview of the SEC and the Federal securities laws," and presents its own proposal as "a complementary federal regulatory framework for crypto assets subject to the safe harbor proposed in Regulation Crypto Assets." A crypto asset that leaves the Commission's perimeter on its issuer's Form TR will therefore enter another agency's framework on the same record, and that record should rest on effective-control facts both agencies can read.

II. Suggested rule text

The following drafting language is offered as a starting point for six of the eight recommendations. It uses the proposal's own defined terms and structure.

Recommendations 1, 3, and 5 (Section 228.400(a)). Revise proposed Section 228.400(a) to read:

> (a) The issuer, each affiliate or agent of the issuer or of a promoter, and each other person who controls a privileged function associated with the subject crypto asset or the associated crypto network has completed or otherwise permanently ceased all essential managerial efforts that the issuer represented or promised it would engage in under the covered investment contract, and none of them is making any new representation or promise to engage in essential managerial efforts with respect to the crypto asset.
>
> (a)(1) The associated crypto network or associated crypto application is functional, in that the crypto asset can be used on that network or application in accordance with the programmatic utility of that network or application.
>
> (a)(2) Neither the issuer nor any person described in paragraph (a) holds a unilateral, discretionary power to modify the associated crypto network, the associated crypto application, or the subject crypto asset. A power is not unilateral if it can be exercised only with the approval of holders of the crypto asset. A power is not discretionary if it takes effect only after a timelock during which holders may reject it, or if the code exercises it on a published schedule.

Paragraph (b), the proposed Form TR filing condition, stays as proposed.

Recommendation 6 (new Section 228.400(c)). Add:

> (c) The safe harbor provided by this section ceases to be available with respect to a covered investment contract if, after filing the transition report required by paragraph (b) of this section, the issuer or any person described in paragraph (a) resumes essential managerial efforts with respect to the crypto asset. An issuer that resumes such efforts must file a current report on Form 1-UC within four business days of the resumption.

Recommendation 2 (Form TR, Part I). Add to the required contents of Form TR:

> An inventory of each privileged function associated with the subject crypto asset and the associated crypto network, including administrative keys, upgrade authorities, and minting, freezing, and pausing capabilities, identifying for each the on-chain address or program identifier at which it resides and the person that controls it; and, where the issuer relies on the dispersion of governance participation, a statement of the methodology used to measure that dispersion, including the addresses excluded from the measurement and whether delegated voting power was measured.

Recommendation 7 (Section 228.103(b)(1)). Revise the first clause of proposed Section 228.103(b)(1) to read:

> (1) Covered investment contract. A description of the material terms of the covered investment contract, including the issuer's representations or promises to engage in essential managerial efforts under the covered investment contract, the specific milestones or deliverables comprising those efforts, and the issuer's progress with respect to each such milestone or deliverable, …

III. Cross-agency alignment and divergence

Tokenization Systems has commented in adjacent proceedings at eight other agencies. The table below sets out where this proposal and its siblings treat the same underlying question differently.

Issue	This proposal (S7-2026-27)	Sibling rulemakings	Recommended alignment
Who is treated as controlling an arrangement	Rule 400(a) reaches only "the issuer"; related persons are addressed in Rule 103 but not in Rule 400	FDIC RIN 3064-AG29 addresses affiliate-run programs and the accountable line; FinCEN FINCEN-2026-0034 addresses whether a compliance officer holds effective supervisory control	Extend Rule 400(a) to affiliates and agents of the issuer or a promoter and to any person who controls a privileged function, so the identity of the actor is not dispositive where the character of the effort is not

Issue	This proposal (S7-2026-27)	Sibling rulemakings	Recommended alignment
Nominal versus effective control	The Rule 400(a) determination is not expressed in effective-control terms	The banking and AML rulemakings increasingly ask whether authority is effective rather than titular	State in the adopting release that Rule 400(a) looks to effective control
Verification of a self-reported status	Self-certification with a supporting analysis of unspecified content	Bank and credit-union rules pair self-reporting with supervisory examination; the Commission has no examination relationship with these issuers	Specify the analysis content, which is the substitute available where examination is not
Handoff to another regulator	A crypto asset that satisfies Rule 400 leaves the Commission's perimeter on the issuer's own Form TR	The CFTC's October 2026 advance notice presents its proposed crypto asset market framework as complementary to the Rule 400 safe harbor	Build the Form TR record on effective-control facts that the CFTC can read from the same evidence
Measurement of concentration and control	Not specified	Not specified in the sibling rules either	Specify the exclusion and delegation-adjustment methodology; this is a gap common to all of them and the Commission is positioned to set the standard

The last row is the one Tokenization Systems most encourages the Commission to act on. None of the proceedings on which Tokenization Systems has commented specifies how concentration or control is to be measured from on-chain data. The Commission is the agency whose rules most directly turn on the answer, and a methodology specified here would likely become the reference for the others.

IV. Anticipated objections

Objection: the release has already declined to make decentralization the test. Addressed in Recommendation 1. The recommended condition does not adopt a general market conception of decentralization. It tests one element of the Commission's own definition, unilateral operational control, and only as to the issuer, the affiliates and agents of the issuer or of a promoter, and the holders of a privileged function, because that element bears on whether a purchaser can still reasonably expect the issuer's efforts.

Objection: an observable control condition would make the safe harbor unavailable to most issuers. In the separate, unpublished audit, seventeen of thirty-six protocols retained unilateral upgrade control; that sample is not the set of Rule 400 issuers,

so it does not say how many issuers the condition would bind. Binding where control is retained is the point of a condition. It would not bind on issuers that have genuinely relinquished control, which are the issuers the safe harbor is designed for. An issuer that retains unilateral authority to rewrite the network has not ceased essential managerial efforts in any sense a purchaser would recognize, and the safe harbor's premise, that purchasers no longer reasonably expect the issuer to act, is not satisfied.

Objection: specifying measurement methodology is too technical for rule text. The Commission need not put the methodology in the rule text. Stating it in the adopting release, or requiring the issuer to disclose the methodology it used, would achieve most of the benefit. Recommendation 2 takes the lighter path: it requires the issuer to state its methodology rather than requiring the Commission to prescribe one.

Objection: the extension beyond the issuer would capture ordinary maintenance. Addressed in Recommendation 3. The release's existing functionality carve-out, which applies "whether by the issuer or another party," does the limiting work.

Objection: these additions increase burden on small issuers. The privileged-function inventory in Recommendation 2 is information the issuer necessarily possesses, since it holds or has relinquished the keys in question, and is typically a short list. The milestone disclosure in Recommendation 7 is a formatting requirement applied to information Rule 103(b)(1) already requires. Tokenization Systems does not recommend audited or third-party-verified control assessments, which would impose real cost on the startup-exemption issuers the proposal is designed to reach.

Objection: the Commission should not codify a control test while Congress is considering market-structure legislation. The Commission is codifying a cessation test either way; the question is only whether it is observable. An unobservable test is not more deferential to a future statute, it is merely harder to administer in the interim. Nor is an observable control test foreign to the legislative drafting the release itself consults: the House-passed text of H.R. 3633 frames its maturity test in comparable terms (Recommendation 1).

V. Conclusion

The eight recommendations share one organizing point. Proposed Regulation Crypto Assets conditions a permanent change in a crypto asset's status under the Federal securities laws on whether essential managerial efforts have ceased, and that is a question about the world rather than a question about the issuer's own account of the world. It can be answered from current, public, reproducible data. The evidence that it should be answered that way is that a figure taken from the offering is a poor proxy for who controls the network later (launch insider allocation, Pearson r = 0.09), while current-state measures do carry information (Spearman rho = 0.44, surviving a non-insider tautology check at rho = 0.54). Question 131 asks whether a more objective standard exists. It does: its core is a definition of control the Commission has already written, it is in published use, and Recommendations 1, 4, and 5 set it out in rule text.

Tokenization Systems supports the Commission's decision to build a tailored regime and appreciates the care evident in the proposal's disclosure architecture and its economic analysis. The recommendations above are offered in the same spirit, and Tokenization Systems is available to provide the underlying data, methods, and analysis cited in the appendix, including the executable replication package for the published audit.

Respectfully submitted,

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Appendix: Selected sources

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